₹470 Raw material cost of paracetamol per kg over the past three weeks—a 100% rise from Rs 235/ kg. Overall, wholesale medicine prices are up by 10–15%

HEALTHCARE

CAUGHT IN AN ILL WIND

The war has impacted everything from drug ingredient costs to medical tourism numbers. There is no reason to panic yet, but the unease is growing

By SONALI ACHARJEE

The ongoing conflict in Iran, resulting in stalled shipping and closed airspaces, has had a choking effect downstream. The healthcare sector in India has been jolted by the sudden shock—hospitals are seeing fewer international patients, pharmaceutical companies are facing rising raw material costs, diagnostic centres are worried about the supply of helium—used in MRI machines—and operating costs are slowly increasing. The situation is not yet a crisis, with very few hospitals willing to admit the full extent of the impact. But across the healthcare sector, costs are rising and supply chains are tightening.

Ananya Bhattacharjee, 44, an HR consultant based in Chicago, has been planning her thyroid removal surgery in India for months after being diagnosed with early-stage thyroid cancer late last year. But the Middle East conflict has disrupted those plans—airspace closures and rerouted flights have increased airfares. The ticket she has been tracking has nearly doubled in price within weeks and flights have become longer and less predictable. Bhattacharjee now faces a difficult decision. Delaying surgery means continuing medication and repeated scans. Her situation highlights a lesser-known consequence of the ongoing conflict—not just rising medication or hospital costs, but the plight of patients whose treatment timelines are being disrupted due to the war.

THE IMPACT

- A halt in shipping due to the war has made bulk drug and pharmaceutical ingredients more expensive, driving up production costs for medicines
- Delayed/ expensive shipments hurting cold-chain logistics for temperature-sensitive medicines like insulin and vaccines
- Helium supply is uncertain due to dependence on Qatar. MRI machines require liquid helium for cooling. Diagnostic centres worry about rising helium prices
- Sharp drop in patients from West Asia affecting hospital revenues as airspaces are closed/ disrupted
- Higher diesel, electricity and transport costs increasing hospital operating expenses
- Plastic-based consumables like plastic syringes, IV bags and disposable equipment are costlier due to rise in petrochemical prices
- Shipping delays, high insurance costs hiking prices of imported medical devices

